LIFE ASSURANCE SECTOR REPORT

For the Year -Ended 31 December 2021

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iii. This report relates to Life assurance business and Life reassurance business written by life assurers.

iv. Please Note: All Monetary Figures are in ZW$ except where stated.

v. All amounts in this report are in nominal terms and in ZW$000, except where specifically stated to be in real terms.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets as defined by the Insurance Act (Chapter 24:07)
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme

1. **Executive Summary**

1.1 For the year ended 31 December 2021, the life assurance sector was made up of 12 direct life assurance companies, 4 composite reassurance companies and 1 378 life agents.

1.2 For the year ended 31 December 2021, the life assurance industry reported a gross premium written (GPW) of ZW$16.50 billion, representing a nominal increase of 352% from ZW$3.65 billion reported in the comparative period in 2020.

1.3 The growth in GPW was mainly attributable to premium increases in response to the increase in inflation. In addition, the increase in GPW for the reporting period was also due to a significant increase in premiums from funeral and whole life business classes.

1.4 Gross Premium Written for life re-assurers grew by 285% from ZW$153.08 million reported for the year ended 31 December 2020 to ZW$589.15 million for the year ended 31 December 2021.

1.5 In real terms GPW for life re-assurers grew by 139% to ZW$366.62 million.

1.6 For the year ended 31 December 2021 the Life Assurance industry reported foreign currency denominated business amounting to USD10.32 million. Foreign currency denominated business was mainly written from funeral assurance business where Nyaradzo Life wrote 44% of the industry's total foreign currency business for the period.

1.7 All eleven (11) life assurance companies who submitted their returns and all four (4) life reassurance companies, reported capital positions which were compliant with the prescribed minimum capital requirements (MCR) of ZW$75 million and ZW$112.5 million, respectively as at 31 December 2021.

1.8 The capital positions were, however, based on unaudited returns, with no adjustments made for inadmissible assets as required by Statutory Instrument 95 of 2017.

1.9 It is a requirement and important that every player holds adequate capital to increase resilience in times of bad claims experience and economic shocks. The shocks, which include pandemics like the current

Covid19 (Coronavirus), may result in an increase in claims or supply chain disruptions.

1.10 For the year ended 31 December 2021, direct life assurers reported a 29% nominal growth in total assets from ZW$70.09 billion as at 30 September 2021 to ZW$90.08 billion as at December 2021.

1.11 Growth in assets was mainly attributed to strong performance by equity investments on the Zimbabwe Stock Exchange and revaluation gains derived from the investment properties.

1.12 The asset base for composite reassurers grew by 18% from ZW$3.13 billion as at 30 September 2021 to ZW$3.69 billion as at 31 December 2021.

1.13 As at 31 December 2021, the average prescribed asset ratio for life assurers and life reassurers stood at 3.56% and 2% respectively.

1.14 Ten (10) out of eleven (11) direct life assurance companies and three (3) life reassurance companies were not compliant with the minimum prescribed asset ratio of 15%.

1.15 For the year ended 31 December 2021, the life assurance sector reported nominal profit after tax of ZW$31.70 billion, an increase of 179% from ZW$11.36 billion reported for the comparative period of 2020.

1.16 After-tax profit for life reassurers grew by 500% from ZW$158.3 million reported for the year ended 31 December 2020 to ZW$950.55 million for the year ended 31 December 2021.

1.17 In real terms, profit after tax for the life assurance and life reassurance sectors increased by 74% and 274% respectively.

1.18 The increase in profit after tax for both the life assurance and the life reassurance sectors is mainly attributed to high investment returns from revaluation gains and on equity investments

1.19 Tables 1a) and 1b) below show the summary of key financial indicators of the life assurance and life reassurance sector respectively.

Table 1a): Summary of Key Financial Indicators For Life Assurers.

Life Assurance				
Financial Aspect (ZW$000)	Dec-20	Dec-21	Dec- 21 inflation-adjusted	Growth Inflation-adjusted
GWP	3,651,581	16,496,746	10,265,554	181%
NWP	3,564,050	16,106,074	10,022,448	181%
Claims	1,340,058	6,242,971	3,884,861	190%
Management Operating Expenses	682,995	3,848,557	2,394,871	251%
Commissions	146,818	1,048,695	652,579	344%
Technical Costs	2,169,871	5,076,691	3,159,111	46%
Profit after Tax	11,354,136	31,704,999	19,729,309	74%
Financial Aspect	Sep-21	Dec-21	Growth (%)	
Total Assets	70,088,240	90,088,532	29%	
Total Liabilities	32,659,341	44,161,078	35%	
Capital	37,428,899	45,927,455	23%	
Capital to Liability Ratio	115%	104%	-10%	
Prescribed Assets	1,815,111	3,140,646	73%	
PA Ratio (%)	2.84%	3.56%	23%	

Table 1b): Summary of Key Financial Indicators for Life Reassurers.

Life Reassurance				
Financial Aspect (ZW$000)	Dec-20	Dec-21	Dec-21 inflation-adjusted	Growth Inflation-adjusted
GWP	153,083	589,151	366,615	139%
NWP	111,326	471,721	293,542	164%
Claims	69,233	234,490	145,918	111%
Management Operating Expenses	41,522	51,165	31,839	-23%
Commissions	20,303	91,610	57,007	181%
Technical Costs	131,058	73,762	45,901	-65%
Profit after Tax	158,285	950,551	591,507	274%
Financial Aspect	Sep-21	Dec-21	Growth (%)	
Total Assets	3,132,607	3,688,006	18%	
Total Liabilities	1,342,385	1,452,079	8%	
Capital	1,790,223	2,235,927	25%	
Capital to Liability Ratio	133%	154%	16%	
Prescribed Assets	45,503	73,760	62%	
PA Ratio (%)	3.90%	2.00%	-48.77%	

2 The Insurance and Pensions Commission at Glance

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated to regulate, supervise and develop the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2 This report outlines industry developments and IPEC's various activities in the Insurance industry consistent with its statutory mandate for the year ended 31 December 2021.

Terms of Reference

2.3 The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pensions and Provident Funds Act [Chapter 24.09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19] and
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

3. ECONOMIC DEVELOPMENTS

3.1 COVID-19 Updates

Global Covid-19 cumulative cases reached 278.7 million at the end of December 2021, up from 79.2 million cases confirmed at the end of December 2020. The pandemic-related fatalities rose to 5.4 million from 1.7 million over the same period (WHO, 2021).

The total Covid-19 cases in Zimbabwe rose to 213,258 as at 31 December 2021, from 13, 867 recorded for the corresponding period in 2020. Covid-19 related deaths increased to 5,004 cases from 363 cases in the prior year. The national recovery rate stood at 85% and a total of people had been fully vaccinated by year end.

3.2 Covid-19 Impact on Insurance and Pensions Industry

In the outlook, the emergence of the new Covid-19 variants could prolong the pandemic and induce renewed economic disruptions. Meanwhile, Zimbabwe welcomes the opening up of the country's borders, as this is expected to boost economic activity and address liquidity challenges faced by the insurance and pensions industry. The pandemic affected employers and employees in hard-hit sectors such as tourism and hospitality services. It also contributed to increased operating expenses as insurance companies and pension funds sought to capacitate staff to work remotely.

The renewed economic activity through open borders is, therefore, expected to contribute to improved household and business incomes needed to facilitate the payment of premiums and pension contributions. Ultimately this will assist in reducing the level of premium debtors policy lapses, and contribution arrears.

3.3 Global and Regional Economic Outturn and Outlook

The International Monetary Fund (IMF) estimated global output growth of 5.9% in 2021, and a subdued projection of 4.4% in 2022 due to economic disruptions caused by the Omicron variant. The World Bank on the other hand estimated an expansion of 5.5% in 2021 and 4.1% in 2022 reflecting continued Covid-19 flare-ups, and persistent supply bottlenecks. The growth rates in other regions are illustrated in Table 2.

Table 2: World Economic Outlook Projections

	2021	2022	2023
World Output	5.9	4.4	3.8
Advanced Economies	5.0	3.9	2.6
USA	5.6	4.0	2.6
Euro Area	5.2	3.9	2.5
Emerging Markets and Developing Economies	6.5	4.8	4.7
China	8.1	4.8	5.2
Sub-Saharan Africa	4.0	3.7	4.0
Nigeria	3.0	2.7	2.7
South Africa	4.6	1.9	1.4
Zimbabwe	5.1	3.1	-

Source: January 2022 World Economic Outlook Update, IMF Projections

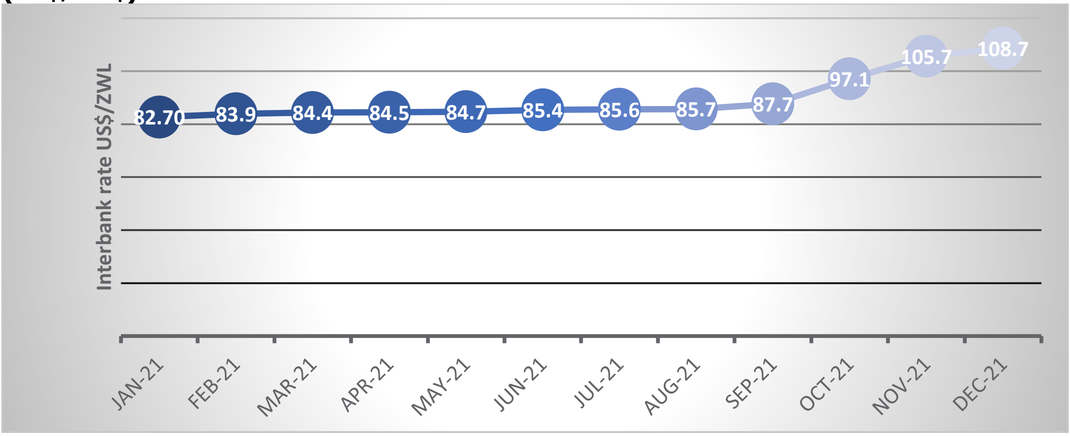
3.4 Domestic Economic Performance Outturn and Outlook

The domestic output growth for 2021 is estimated to reach 7.8%, reflecting a strong rebound from -5.3% registered in 2020. In 2022, the economy is projected to grow by 5.5%, underpinned by higher output in mining, manufacturing, agriculture, and construction.

3.5 Exchange Rate Developments

The Zimbabwe dollar depreciated against the US dollar in the fourth quarter, shedding 31.44% to close at an average of US$1: ZW$108.7. The marginal depreciation was due to high foreign exchange demand as businesses were gearing for re-stocking ahead of the festive season. Figure 1 shows the exchange rate trend since January 2021.

Figure 1: Interbank Exchange Rate January to December 2021 (US$/ZW$) – End of Period

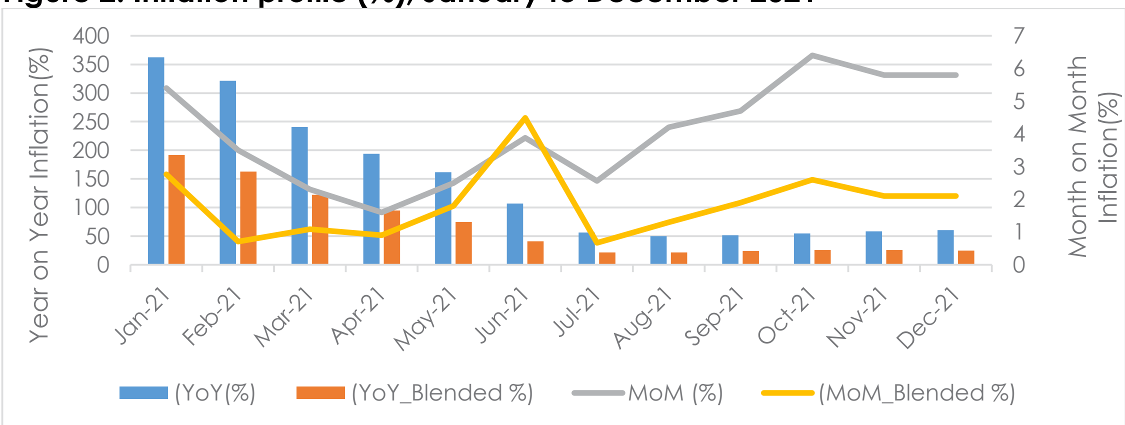


Source: Reserve Bank of Zimbabwe

3.6 Inflation Developments

The annual inflation decreased to 60.7% in December 2021, down from 362.6% registered in January 2021. The month-on-month inflation spiked in June and -October 2021 due to acceleration in food and non-food inflation before slowing down towards the end of 2021 on account of tight monetary policy, and fiscal policy consolidation measures. Figure 2 illustrates the inflation trend from January to December 2021.

Figure 2: Inflation profile (%), January to December 2021



Source: Zimbabwe National Statistics Agency

1.7. Zimbabwe Stock Exchange Performance

The fourth quarter of 2021 experienced positive trading, with the Top 10, and All Share indices gaining 40.2%, and 26.1% respectively. The local bourse increased by 40.13% worth of capitalisation to close at ZW$1317.21billion, from ZW$940.02 billion recorded in the third quarter of 2021. The level of activity on the stock exchange market arose from the appetite for equities as a value-preserving asset. Table 3 shows the quarterly change in the key stock market indicators.

Table 3: Changes in the Key Stock Market Indicators

ZSE Indicator	Sept-2021	Dec-2021	Change (%)
All share index (points)	8580.16	10822.36	26.1
Top 10 Index (points)	4857.20	6811.43	40.2
Medium Cap Index (points)	20599.24	20407.26	-0.9
Small Cap Index (points)	254232.9	402753.1	58.4
Market Capitalisation (ZW$ billion)	940.02	1317.21	40.1
Shares traded (million)	69.39	26.79	-61.4
Market turnover (ZW$ mil)	1403.07	831.60	-40.7

Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX) Performance: The VFEX registered trades worth US$114,544.74 in the fourth quarter, a decline of 75.8% when compared to US$473,336.01 recorded in the third quarter of 2021. Two mining companies, Caledonia Mining, and Bindura Nickel were listed on the VFEX during the quarter, bringing the total number of counters to four. The total market capitalisation level as at 31 December was US$259,743,936.20.

1.8 Money Market Developments - Savings Deposit Rates

During the quarter under review, the average savings deposit rates were below 20% while the annual inflation rate closed at 60.7%. Thus, in the entire quarter, the real returns on money market investments continued to be in the negative territory.

Part A: Life Assurance Section

4. Architecture of the Life Assurance Sector

Industry Architecture

4.1 For the year ended 31 December 2021, there were 12 registered life assurers and 4 registered life reassurers under the supervision of the Insurance and Pensions Commission (IPEC).

4.2 Heritage Life failed to submit its returns for the fourth quarter 2021 and are therefore not included in this report

4.3 Life assurers had 1 378 agents comprising both corporate agents and individual agents as shown in table four (4) below:

Table 4: Distribution of Agents, staff and branches across Life Assurers

LIFE ASSURANCE INDUSTRY STRUCTURE					
Name Of Company	Corporate Agents		Sole Agents		Total
	Dec-20	Dec-21	Dec-20	Dec-21	Dec-21
CBZ Life	3	3	30	35	38
Doves Life	0	0	120	192	192
Econet Life	0	0	0	0	0
Evolution Health and Life	0	0	0	0	0
Fidelity Life	0	0	46	47	47
First Mutual Life	0	0	220	220	220
Nhaka Life	1	1	11	17	18
Heritage Life	0	0	11	0	0
Nyaradzo Life	7	9	313	320	329
Old Mutual Life	13	13	177	148	161
ZB Life	0	0	153	152	152
Zimnat Life	0	0	220	221	221
Total	**24**	**26**	**1301**	**1352**	**1378**

*****Heritage Life failed to submit its returns for Q4 of 2021***

4.4 As at 31 December 2021, the number of agents for the life assurance sector increased by 53 agents from 1325 agents reported as at 31 December 2020 to 1378 agents.

5. Performance in terms of Gross Premium Written

5.1 For the year ended 31 December 2021, gross premium written by direct life assurers grew by 352% in nominal terms from ZW$3.65 billion recorded for the year ended 31 December 2020 to ZW$16.50 billion.

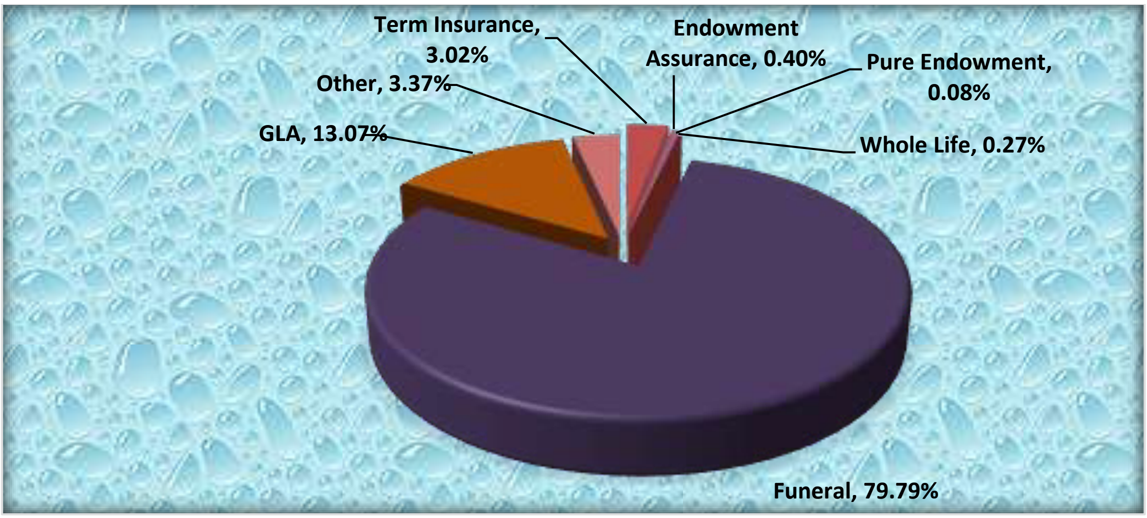
5.2 Based on inflation adjusted figures, the growth in GPW was 181%. The positive real growth in GPW is attributable to an increase in premiums that were higher in response to the rate of inflation.

5.3 Growth in business from traditional life assurance products improved significantly from the prior year, with growth rates well above annual inflation rate which stood at 60.7% as at the end of December 2021.

5.4 The main drivers of growth in GPW for the year ended 31 December 2021 were whole life and funeral assurance businesses.

5.5 The figure 3 below shows the distribution of business written by product line.

Figure 3: Distribution of Gross Premium Written by product line as at 31 Dec 2021

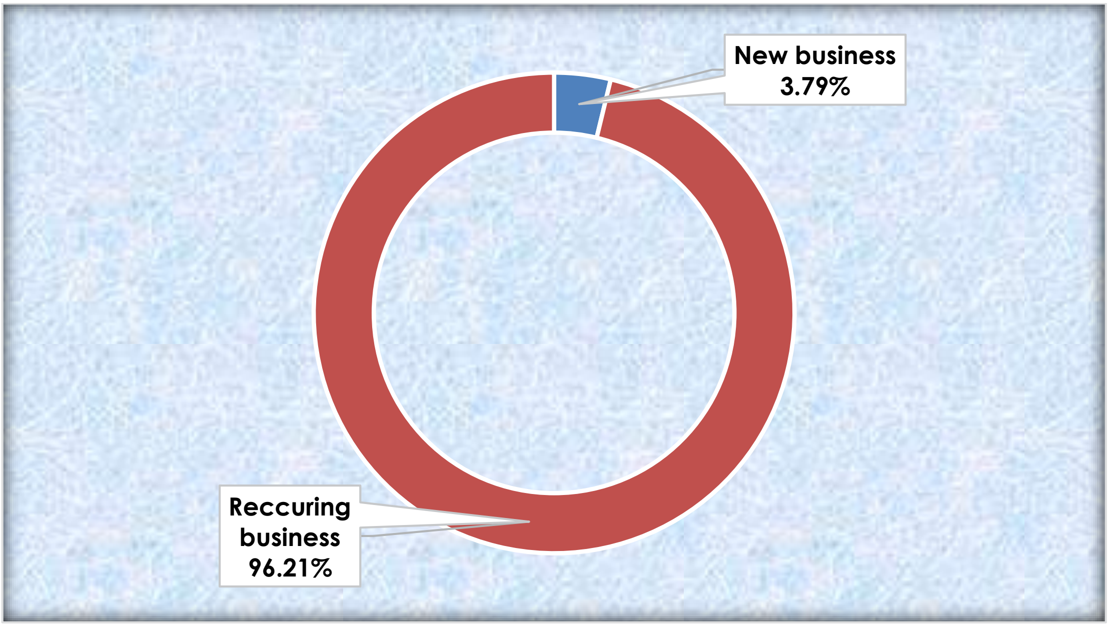


5.6 The Commission continues to encourage all players to be innovative and to continue to align traditional life assurance products to policyholders' expectations in terms of value preservation and relevance taking into account the obtaining macroeconomic environment.

5.7 This is very important given the legacy issues regarding the loss of values suffered by policyholders on pre- 2009 policies.

5.8 The life assurance sector's GPW for the year ended 31 December 2021 was skewed towards recurring business, which accounted for 96% of total business written.

Figure 4: Business Composition for Life Assurers as at 31 Dec 2021



5.9 The low GPW generated from new business (See figure 4 above) reflects low confidence in the sector and the prevailing volatile macro-economic environment which limits the uptake of life assurance policies due to volatile and decreasing disposable incomes.

Breakdown by Product

5.10 In terms of business composition, 92.86% of the total Gross premium written was generated from funeral assurance and group life assurance business.

5.11 Funeral assurance policies continue to dominate life assurance product lines because of their defined benefit nature.

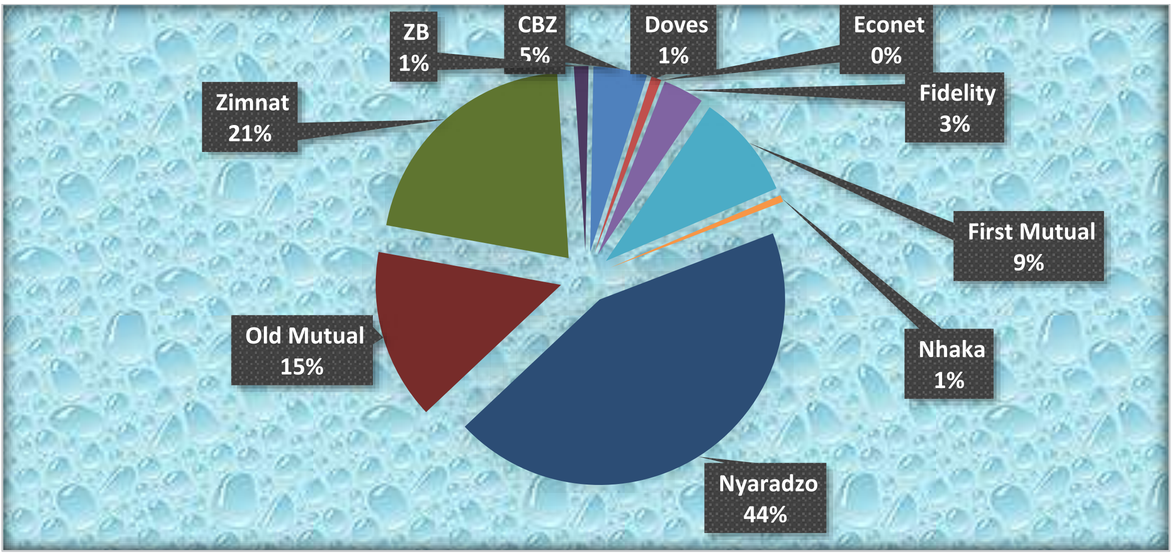
5.12 Traditional life assurance products which include term assurance, endowment policies, pure endowment and whole of life, accounted for a small proportion of business generated during the quarter.

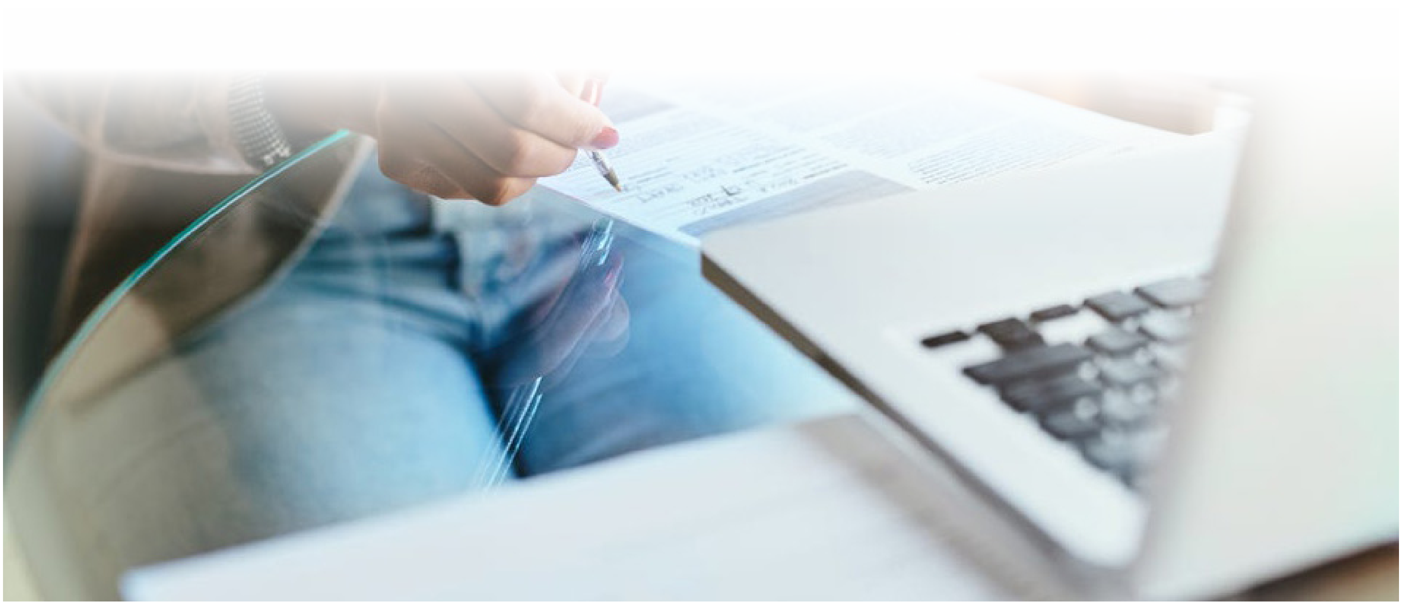
5.13 This reflects low appetite for traditional life assurance products by the market.

5.14 For the year ended 31 December 2021 the life assurance sector wrote foreign currency business amounting to USD10.32 million.

5.15 The breakdown of the foreign currency business written by the Life assurance sector is shown in figure 5 below

Figure 5: Distribution of Foreign Currency Business (GPW) as at 31 Dec 2021





6 Not taken up (NTU) policies

6.1 As at 31 December 2021, the life assurance sector reported a total of 283,147 not taken up (NTU) policies with a total nominal gross premium of ZW$43.77 million (See Table five (5) below):

Table 5: Not taken up policies (NTU) as at 31 Dec 2021

Company	Number of Policies	Nominal Gross Premium $(000)
Nyaradzo	-	-
Nhaka	39	43
Evolution	-	-
Doves	-	-
Old Mutual	672	176
Zimnat	959	1,576
CBZ	1,256	891
First Mutual	11	18
Fidelity	45	160
ZB	597	87
Econet	279,568	40,817
Total	**283,147**	**43,768**

6.2 The premium lost due to not taken up (NTU) policies is significant, considering the value of new business of ZW$607.56 million reported in the current reporting period.

Lapsable policies

6.3 For the year ended 31 December 2021, the sector had a total of 2.21 million lapsable policies. A total of 171,132 policies lapsed during the year ended 31 December 2021, translating to a lapse ratio of 8.40% (See Table 6 below).

6.4 The lapse ratio of 8.40% is higher than the lapse ratio of 6.81% recorded for the comparative period that ended 31 December 2020.

Table 6: Lapse ratios as at 31 Dec 2021

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (Corporates Lines)	Lapse Ratio
Nyaradzo	558,562	46,368	2,590	**8.77%**
Nhaka	2,309	354	18	**16.11%**
Evolution	-	-	-	**0.00%**
Doves	-	-	-	**0.00%**
Old Mutual	85,289	567	-	**0.66%**
Zimnat	80,572	2,812	-	**3.49%**
CBZ	57,961	1,798	-	**3.10%**
First Mutual	188,703	10,752	11,775	**11.94%**
Fidelity	135	112	-	**82.96%**
ZB	17,648	686	-	**3.89%**
Econet	1,046,403	93,300	-	**8.92%**
Total	**2,037,582**	**156,749**	**14,383**	**8.40%**

**Heritage Life failed to submit its returns

7 Capitalisation

7.1 Adequate capitalisation is crucial for resilience of the life assurance sector and policyholder protection in times of financial distress.

7.2 As at 31 December 2021, all the 11 primary life assurers, which submitted their returns, reported capital positions that were compliant with the MCR of ZW$75 million (see table seven (7) below):

Table 7: Capital Positions for life assurance companies as at 31 Dec 2021

Company	Capital Position Trend ZW$(000)	
	2021 Q4	**2021 Q3**
CBZ	378,585	512,785
Doves**	1,776,656	1,507,839
Econet	661,292	1,034,737
Evolution	334,609	334,202
Fidelity	740,535	1,304,438
First Mutual	4,051,069	2,179,988
Nhaka	79,250	111,545
Nyaradzo	8,603,686	3,437,611
Old Mutual	30,745,826	24,889,622
ZB	1,450,121	1,465,422
Zimnat	1,336,190	650,709
Total	**50,157,819**	**37,428,899**

7.3 All players are encouraged to continuously carry out capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 together with ZICARP framework.

8 Asset quality

8.1 As at 31 December 2021, the sector reported nominal total assets amounting to ZW$90.09 billion which represents a growth of 18% from ZW$70.09 billion reported as at 30 September 2021.

8.2 The growth in the sector's assets was mainly driven by increase in values of quoted equities on the Zimbabwe stock exchange and increases in value of properties.

8.3 The increase in the value of equities was attributable to the bull-run on the Zimbabwe Stock Exchange (fair value adjustments) while the increase in the value of fixed properties was on account of property revaluations in the wake of rising prices.

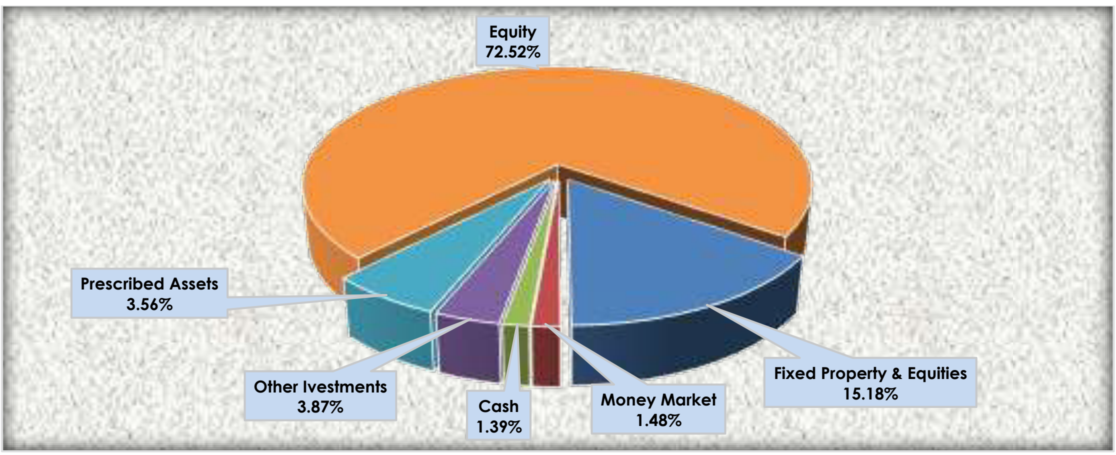
8.4 Fixed properties and equities constituted 73% of the total assets for life assurers. Concentration of the sector's assets in long term investments reflects the general nature of liabilities for the sector which are long term in nature.

8.5 In terms of asset allocation, the sector is non-compliant with Circular 1 of 2013.

8.6 It is a requirement that all entities continuously adhere to the requirements of circular 1 of 2013 and align their investment policy statements to the dictates of the circular and their liability profiles.

Figure 6: below shows the asset breakdown for the life assurance sector for the year ended 31 December 2021.

Figure 6: Assets breakdown as at 31 Dec 2021



**Other investments below include plant and equipment, receivables, deferred tax assets, technical assets, deferred acquisition costs and unquoted shares*

Prescribed Assets

8.7 Ten (10) out of eleven (11) life assurance players, who submitted returns, reported prescribed asset ratios that were below the minimum required threshold of 15% of total assets. Only Fidelity Life Assurance was compliant as it reported 17% prescribed asset ratio.

8.8 As at ended 31 December 2021, the total investments in prescribed assets by the life assurance sector amounted to ZW$3.14 billion translating to an average compliance level of 3.56%.

8.9 Prescribed assets investments are an important resource mobilisation tool for funding projects of national interest that help to foster socio-economic development.

8.10 The Commission is continuously engaging the life assurance entities to develop prescribed asset compliance plans and to come up with projects that can be accorded prescribed asset status as a way of enhancing compliance.

9 Reassurance

9.1 For the year ended 31 December 2021, direct life assurers wrote business amounting to ZW$16.5 billion in gross premium. The industry ceded ZW$388.29 million, translating to a reassurance ratio of 2.35%.

9.2 The reassurance ratio for the life assurance sector remains low. The Commission therefore calls for sector players to fully embrace reassurance as a risk management tool that helps to protect their balance sheets.

9.3 Reassurance is an important risk management that is helpful especially during periods of high claims experience.

10 Earnings

10.1 In nominal terms, total profit after tax for life assurers increased by 179% from ZW$11.35 billion for the year ended 31 December 2020 to ZW$31.70 billion for the current reporting period.

10.2 This translates to an inflation adjusted increase of 74%, indicating that the sector recorded a real growth in profit after tax.

10.3 Increase in profitability was mainly due to significant increases in investment income from ZW$11.59 billion reported for the year ended 31 December 2020 to ZW$40.85 billion for the current reporting period.

10.4 The combined ratio for the life assurance sector decreased from 135% for year ended 31 December 2020 to 130% for the comparable period in 2021 (See annexure 1), indicating a decrease in underwriting loss.

10.5 In nominal terms, underwriting profit for the sector increased by 2577% from a negative of ZW$1.28 billion as at 31 December 2020 to ZW$31.70 billion as at 31 December 2021.

11 Liquidity

11.1 For the year ended 31 December 2021, the life assurance industry reported a total of ZW$5.26 billion in terms of current assets compared to ZW$4.84 billion reported for the period ended 30 September 2021.

11.2 Current liabilities amounted to ZW$5.48 billion translating to working capital of negative ZW$215.94 million for the year ended 31 December 2021 compared to ZW$4.62 billion current liabilities as at 30 September 2021 which translated to a working capital of ZW$220 million.

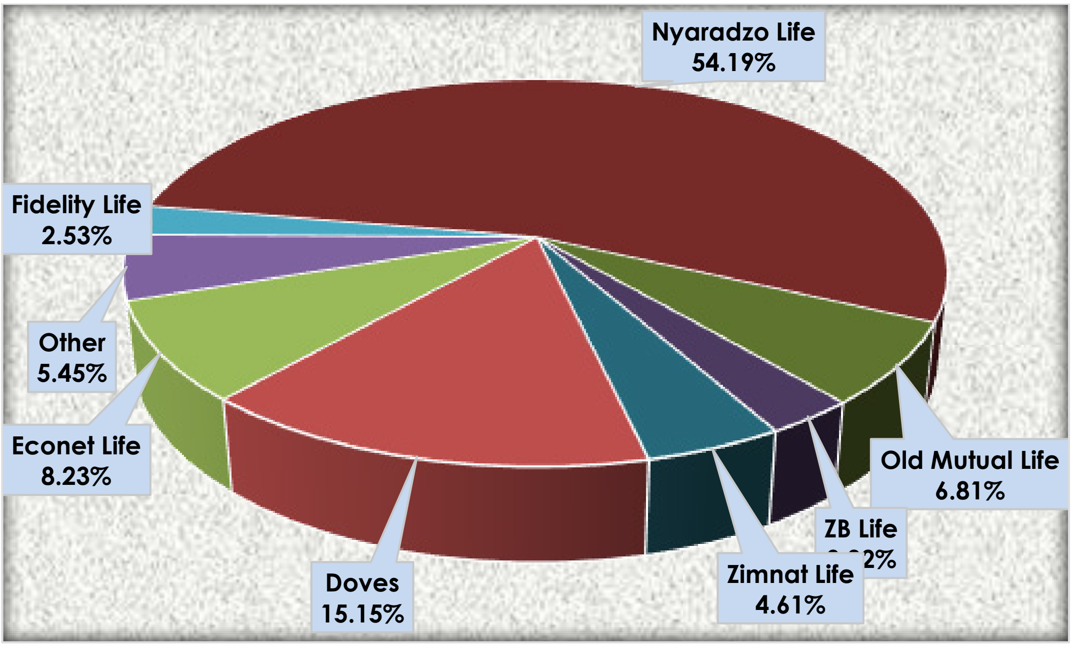
11.3 The life assurance sector's average current ratio was 96% as at 31 December 2021 showing insufficient liquidity to cover short-term contractual obligations as they fall due. The sector should have a ratio of at least 100% for it to have sufficient assets to cover liabilities.

12 Market Share

12.1 For the year ended 31 December 2021, two players namely Nyaradzo and Doves Life Assurance Companies dominated the sector with a total market share of 69% while the remaining players shared the balance.

12.2 Figure 7 below shows the market share distribution for the life assurance sector in terms of GPW.

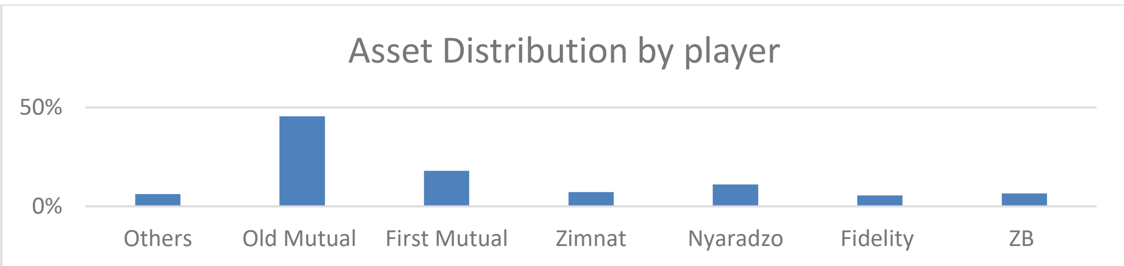
Figure 7: Market Share in terms of GPW as at 31 Dec 2021



Other includes: Evolution, Nhaka, FML and CBZ Life

12.3 Figure 8 below shows the distribution of assets by entities

Figure 8: Distribution of assets per player as at 31 Dec 2021



***_Other comprises Econet Life, Doves Life, Evolution Life, Heritage Life, CBZ Life, and Nhaka Life_**

12.4 Old Mutual Life Assurance Company continued to dominate the sector with a share of 46% of total assets while the remaining 11 players shared the remaining 54%.

Part B: Life Reassurance Section

13 Nature of the reassurance business

13.1 While all reassurers are authorised to write both life and non-life business, the statistics presented in this section only pertain to the composite reinsurers' life assurance business except for their capital positions which comprise both life and non-life position.

13.2 Please note that the figures for Zep-Re only relate to the company's Zimbabwe Regional Hub Office.

13.3 The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

14 Performance in terms of Business Written

14.1 The volume of life reassurance business written, in terms of Gross Premium Written (GPW), increased by 285% in nominal terms from ZW$153.08 million reported as at 31 December 2020 to ZW$589.15 million as at 31 December 2021 (See Table 8 below).

14.2 The growth was attributable to an increase in group life assurance business by the life reassurers and an increase in premiums in response to increase in inflation.

14.3 In real terms, the sector experienced a growth of 139% to inflation adjusted GPW of ZW$366.62 million.

Table 8: Breakdown of GPW for reassurers as at 31 Dec 2021

Company Name	*Q4 2021 Total Premium (000)*	*Q4 2020 Total Premium (000)*	*2021 Q4 (Inflation adjusted ZW$000)*	*Real Growth after inflation adjustment*	*Nominal Growth (%)*
First Mutual Reinsurance	37,634	14,393	23,419	63%	161%
FBC Reinsurance	113,609	30,571	70,696	131%	272%
Baobab Reinsurance	375,205	94,544	233,482	147%	297%
ZEP RE-Insurance	62,703	13,575	39,019	187%	362%
Total	**589,151**	**153,083**	**366,615**	**139%**	**285%**

15 Capitalisation

15.1 As at 31 December 2021, all the four composite Re-assurers reported capital positions that were compliant with the MCR of ZW$112.5 million (See Table 9 below).

15.2 Adequate capitalisation is crucial for resilience and the protection of the underlying policyholders' contracts with the direct life assurers.

15.3 All players are encouraged to continuously carry out Own capital self-assessments in line with the provisions of Statutory Instrument 95 of 2017 and the ZiCARP framework.

Table 9: Trend in the Capital Position for Composite Reassurers as at Dec 2021

Company Name	Capital (Net Assets) Dec 2021 (ZW$ 000)	Capital (Net Assets) Sep 2021 (ZW$ 000)
First Mutual Reinsurance	168,377	867,788
Emeritus Reinsurance	888,138	1,524,382
FBC Reinsurance	1,063,338	1,582,692
ZEP Re-insurance	116,074	822,268
Totals	**2,235,927**	**4,797,130**

**Please note, the capital positions above comprises of both life and non-life reassurance business (Composite Reassurance Business).*

16 Asset Quality

16.1 Total assets for the life reassurers amounted to ZW$3.69 billion as at 31 December 2021, indicating an 18% increase from ZWL$3.13 billion as at 30 September 2021.

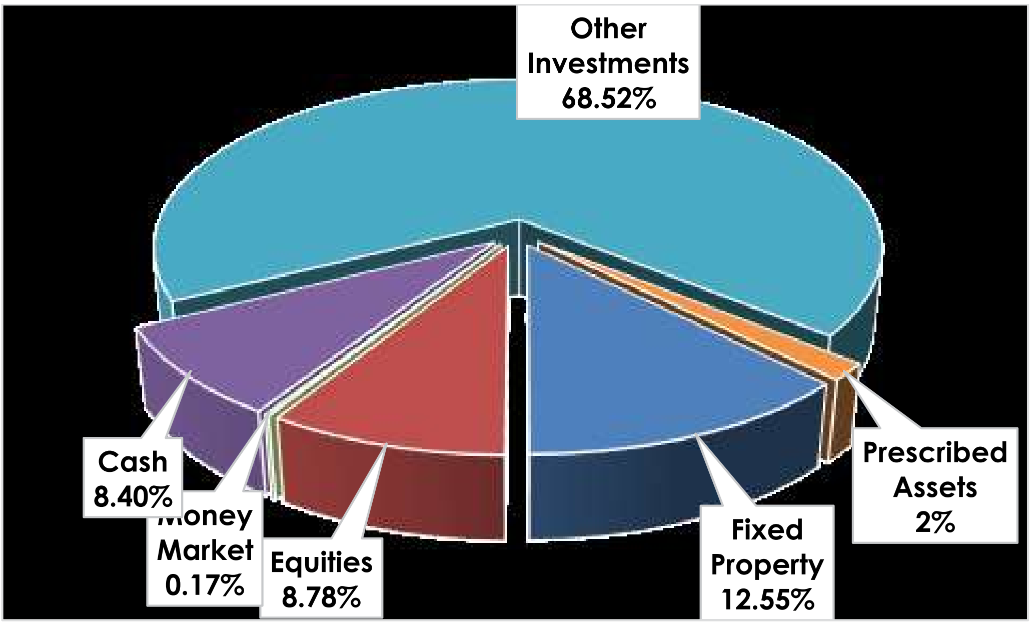
16.2 The growth in total assets was mainly due to the general increase in asset values on account of significant fair value adjustments.

16.3 Other investments constituted 68.52% of the total assets and fixed property constituted about 12.55% of the total assets.

16.4 Liquid assets such as money market instruments and cash constituted only 8.57% of the total assets. The sector players should hold adequate liquidity for settling claims given that the sector writes short-term contracts covering the risk of life assurance companies. However, more investments in long-term assets reflect sound management decision in preserving value of policyholders amid the unfavourable investment performance from money markets in this inflationary operating environment.

16.5 Under the current inflationary environment, sector players are encouraged to invest in value preserving assets to protect policyholder funds.

Figure 9: Life Reassurers' Total Assets as at 31 Dec 2021



**Other investments below include plant and equipment, deferred tax asset, deferred acquisition costs and unquoted shares.*

Prescribed Assets

16.6 As at 31 December 2021, three (3) out of the four (4) life reassurance players reported prescribed asset ratios that were below the minimum required threshold (See Table 10 below).

16.7 Total investments in prescribed assets by the life reassurance sector amounted to ZW$ 73.8 million translating to an average compliance level of 2%.

16.8 Prescribed assets investments are an important resource mobilisation tool for funding projects of national interests to foster socio-economic development.

16.9 The non-compliant life reassurers were urged to develop prescribed asset compliance plans. The Commission is closely monitoring the implementation of these plans so that compliance is achieved.

Table 10: Prescribed Assets Ratios for reassurance sector players as at 31 Dec 2021.

Reinsurer	Prescribed Asset Investments ZW$ (000)	Total Assets ZW$ (000)	Prescribed Asset Ratio %	Amount Required to be compliant ZW$ (000)	Variance in compliance %
First Mutual Reinsurance	14,402	179,560	8.02%	26,934	-6.98%
FBC Reinsurance	14,041	2,344,383	0.60%	351,657	-14.40%
Baobab Reinsurance	9,031	1,006,908	0.90%	151,036	-14.10%
ZEP RE-Insurance	36,286	157,156	23.09%	23,573	8.09%
Total	**73,760**	**3,688,006**	**2.00%**	**553,201**	**-13.00%**

17 Earnings

17.1 For the year ended 31 December 2021, the life reassurance sector's profit after tax increased by 500% from ZW$158.3 million reported for the year ended 31 December 2020 to ZW$950.55 million.

17.2 In real terms, profit after tax for the life reassurers increased by 274% to ZW$591.51 million for the year ended 31 December 2021.

17.3 The increase in profit after tax is mainly attributed to significant increases in investments income, as well as significant increases in the fair value adjustments in assets.

17.4 In terms of underwriting profits, the reassurance sector recorded a profit of ZW$15.31 million. The underwriting profit was mainly driven by high premium income, which was as a result of an increase in the amount of group life assurance business from direct life assurers and a reduction in claims and commission costs in real terms.

17.5 The life reassurance sector had a combined ratio of 97% for the year ended 31 December 2021 (see table eleven (11) below):

Table 11: Life Re-assurance sector's performance ratios as at 31 Dec 2021

Reinsurer	Net Premium	Net Claims	Mgt + Admin Exp	Net Commission	Claims ratio	Expense ratio	Commission ratio	Combined ratio	Underwriting profits
Emeritus Re	315,243	199,761	46,561	66,796	63%	15%	21%	99%	2,125
FBC Re	67,889	35,866	-	10,076	53%	0%	15%	68%	21,947
FM Re	25,886	10,135	2,621	3,460	39%	10%	13%	63%	9,670
Zep Re	55,223	60,400	1,983	11,277	109%	4%	20%	133%	-18,437
Total	464,242	306,162	51,165	91,610	66%	11%	20%	97%	15,305

17.6 The Commission encourages all the players to employ prudent cost cutting measures and widen their premium income streams to improve their combined ratios.

18 Liquidity

18.1 As at 31 December 2021, the life reassurance industry reported current assets amounting to ZW$1.44 billion.

18.2 Current liabilities amounted to ZW$469.29 million translating to working capital of ZW$975.21 million as at 31 December 2021.

18.3 The life reassurance sector's average current ratio was 307% as at 31 December 2021 showing sufficient liquidity to cover short-term contractual obligations as they fall due.

18.4 Though liquidity for the sector has significantly increased, it is imperative for the sector to continue to hold enough current assets to cover for its current liabilities.

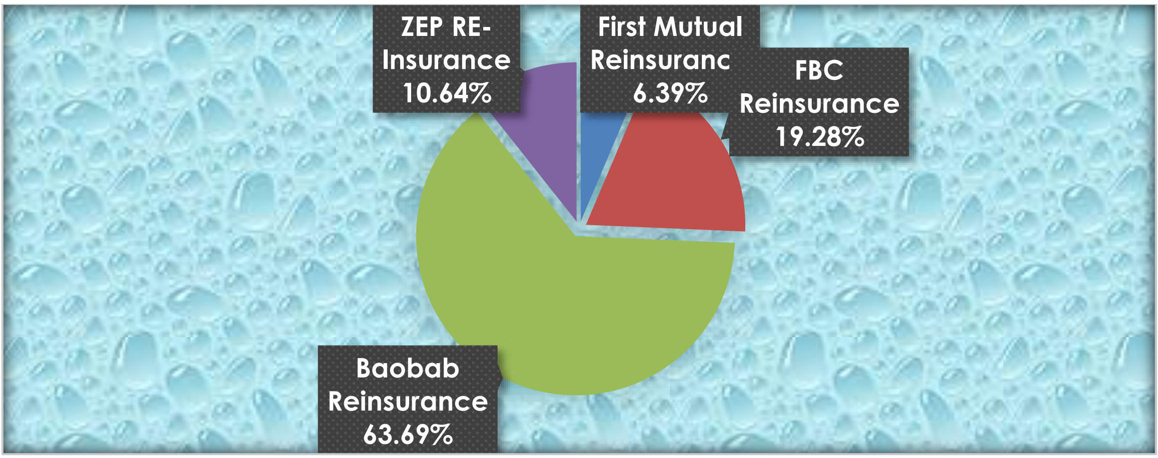
19 Market Share

Market Share in terms of Gross Premium Written

19.1 The Gross Premium Written (GPW) for the life reassurance sector remains concentrated in two players, controlling a combined market share of 83% while the remaining 2 players controlled the remaining 17%

19.2 The breakdown of the market share of sector players in terms of GPW is shown in Figure 10 below.

Figure 10: Market Share by Gross premium written as at 31 Dec 2021

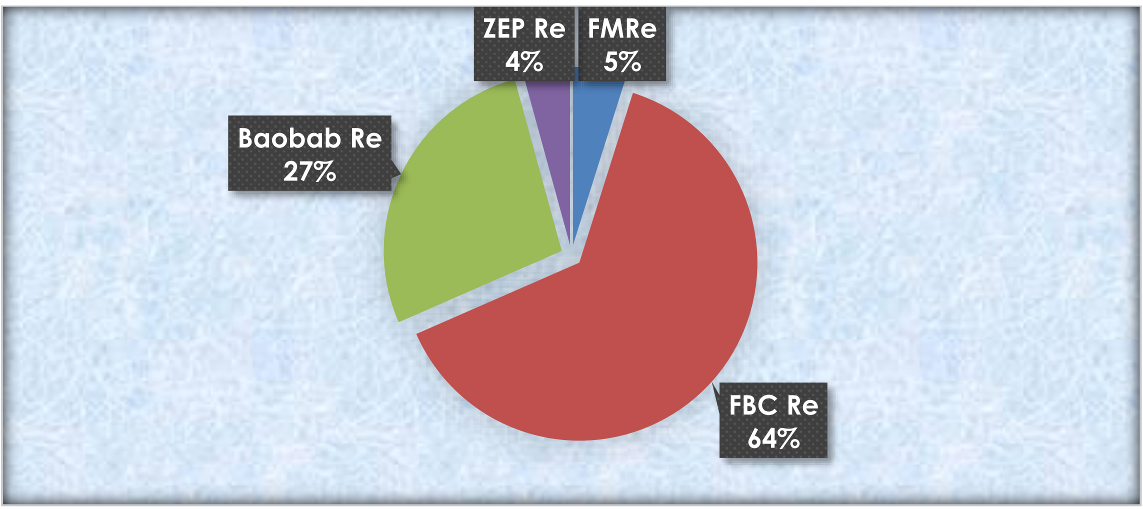


Market Share in terms of total assets

19.3 In terms of total assets, one player controlled 64% of the total assets, while the remaining 3 players controlled 36 % of the sector's total assets.

19.4 Breakdown of sector assets by players is shown in Figure 11 below.

Figure 11: Market Share distribution in terms of total assets as at 31 Dec 2021



20 Regulatory Developments for the Period Ending 31 December 2021

Circulars and Statutory Instruments

20.1 The Commission issued the following Statutory Instruments and Circulars to the insurance sector as shown in Twelve (12) below):

Table 12: Statutory and Circulars issued

Statutory Instrument (SI)	Date Gazetted	Purpose
S.I. 85 of 2021	26 March 2021	Revision of fees payable to the Commission
S.I. 86 of 2021	26 March 2021	Revision of levies payable to the Commission
Circular 27 of 2021	16 September 2021	Notification of publication of the Insurance and Pensions Commissions amendment Bill in the government gazette.
Circular 26 of 2021	16 September 2021	Notification of the Insurance Bill in the Government Gazette.
Circular 24 of 2021	8 July 2021	Call for input on investment guidelines
Circular 23 of 2021	30 June 2021	ZICARP Framework.
Circular 21 of 2021	11 June 2021	Launch of ZICARP framework.
Circular 18 of 2021	31 May 2021	Issuance of the revised guideline on adjusting insurance and pensions

		values in response to the 2019 currency reforms.
Circular 17 of 2021	07 May 2021	Requests for inputs into the 2021 mid-term budget and economic review and the 2022 budget strategy paper.
Circular 15 of 2021	27 April 2021	Postponement of the launch of ZICARP.
Circular 14 of 2021	16 April 2021	Request for information on externalised risks.
Circular 13 of 2021	09 April 2021	Sector feedback session on the implementation of the Guidance Paper.
Circular 12 of 2021	29 March 2021	Notification of publication of IPEC Levy regulations.
Circular 11 of 2021	09 March 2021	ZICARP Programme – Own Risk and Solvency Assessment (ORSA).
Circular 10 of 2021	05 March 2021	Deadline extension for the submission of 2020 Audited Financial Statements and Actuarial Valuation Reports.
Circular 9 of 2021	04 March 2021	Submission of monthly management accounts by funeral assurers to the Commission

Circular 8 of 2021	24 February 2021	Issuance of the treating customers fairly framework
Circular 5 of 2021	17 February 2021	2021 Global Money Week Commemorations
Circular 4 of 2021	28 January 2021	Request for currency reforms compensation framework proposals
Circular 3 of 2021	19 January 2021	Request of information on foreign currency denominated business
Circular 2 of 2021	12 January 2021	Delivery of electronic mail to IPEC
Circular 1 of 2021	04 January 2021	Provision of necessary services during the lockdown.

Restructuring of the Commission

20.2 The Commission embarked on a restructuring exercise meant to align the organisational structure of its core departments with the key supervisory focus areas of prudential and market conduct supervision. This was necessitated by the need to enhance focus on market conduct, fair treatment of policyholders and prudential supervision.

In line with the restructuring of the Commission, the Insurance and Micro insurance Department was restructured and now has three (3) distinct sections. These are the Prudential Supervision, which will focus on assessing the financial soundness of insurance companies; Market Conduct Supervision that will focus on business conduct and fair treatment of policyholders; and the Technical Supervision, which will focus on financial analysis.

21 Complaints

21.1 During the quarter under review, the Commission received 27 complaints, 20 of which were resolved whilst 6 were still outstanding and 1 was referred to the other regulator as it was outside the Commission's jurisdiction.

21.2 The major source of complaints related to the amount received versus the anticipated amount, late payment of claims and non-payment of benefits under a policy at the time of the claim.

21.3 The remaining complaints were from low level pay-outs of benefits because of the 2009 loss of value. The complaints for 2021 fourth quarter are shown in table (13) below:

Table 13: Life assurance complaints for the quarter ended 31 December 2021

Nature of complaints	Number of complaints	% of total
Low value pay-outs in terms of benefits	6	23%
Non-payment and late payment of benefits	20	77%
Total	**26**	**100%**

22 Conclusion

22.1 The Commission continues to encourage the life assurance sector to comply with all regulatory requirements, statutes, directives, guidelines, and circulars on an ongoing basis.

22.2 Sector players are also encouraged to be highly innovative in terms of both product development as well as realignment of their business models to adapt to the unfolding realities in the life assurance market and the prevailing economic environment.

22.3 The Commission underscores the need for sector players to continuously strengthen their balance sheets, to withstand exogenous shocks that can have a devastating effect on their financial stability.

Annexure 1: Statement of Comprehensive Income for for Life Assurers

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Life Assurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life Assurance	First Mutual Life Assurance Company	Fidelity Life Assurance	ZB Life Assurai	Econet Life Ass	Totals
Gross Premium Written	8,685,996,305	96,362,770	30,741,578	2,428,526,113	1,092,275,972	739,173,338	372,135,207	843,152,405	405,017,546	483,593,564	1,319,770,887	16,496,745,683
Outward Reassurance Premium	-	928,072	- 5,886	-	116,198,172	117,884,632	19,654,445	-	- 1,186,604	43,138,687	91,675,606	388,287,125
Net Premium Written	8,685,996,305	95,434,698	30,735,691	2,428,526,113	976,077,799	621,288,706	352,480,762	843,152,405	403,830,942	440,454,876	1,228,095,280	16,106,073,578
Unearned Premiums	-	899,256	-	-	40,316,244	48,484,753	790,022	-	-	-	60,220,021	150,710,295
Net Earned Premium	8,685,996,305	94,535,442	30,747,464	2,428,526,113	935,761,555	572,803,953	351,690,740	843,152,405	406,204,150	440,454,876	1,167,875,259	15,957,748,263
Claims Paid	3,420,615,528	4,586,370	6,811,391	501,441,568	600,543,572	294,783,722	106,481,916	163,450,628	235,056,173	131,490,457	758,855,445	6,224,116,769
Claims Outstanding	-	-	85,970	-	-	-	9,697,491	-	-	2,440,945	6,630,041	18,854,447
Claims Incurred But Not Reported	-	800,994	2,151,498	-	237,510,761	-	-	-	-	-	78,657,336	319,120,589
Change in provision for investment	-	59,289,853	-	242,852,611	2,996,238,251	-	-	-	-	-	-	3,298,380,715
Change in provision for insurance	-	-	-	-	1,822,840,523	-	-	- 405,988,880	-	-	-	1,416,851,643
Transfer to Policyholder Funds	1,995,243,627	-	-	-	-	-	-	-	-	2,299,284,806	-	4,294,528,432
Net Claims	5,415,859,154	64,677,217	9,048,859	744,294,179	5,657,133,106	294,783,722	116,179,407	163,450,628	235,056,173	2,433,216,207	844,142,823	15,977,841,476
Management Expenses	2,618,474,998	5,081,610	-	725,652,905	-	340,730,589	-	-	-	158,617,217	-	3,848,557,318
Net Fees and Commission Paid	576,930,385	4,175,952	6,434,082	179,127,274	-	88,563,826	26,715,563	41,736,514	17,880,699	106,726,216	404,375	1,048,694,886
Underwriting Profit/(Loss)	74,731,767	20,600,663	15,264,523	779,451,755	- 4,721,371,551	- 151,274,183	208,795,770	637,965,262	153,267,278	- 2,258,104,764	323,328,062	- 4,917,345,417
Fair value adjustments (positive)	-	93,011,518	-	-	21,785,809,790	2,635,460,084	255,441,387	7,689,240,505	936,611,038	1,010,936,390	830,020,361	35,236,531,073
Dividend income	9,284,571	-	-	21,319,913	328,429,943	-	3,409,628	99,690,227	4,079,390	17,837,119	18,716,699	502,767,491
Rental income	1,146,910	506,608	-	12,230,982	211,742,338	80,242,849	2,711,820	-	18,130,902	11,816,097	4,204,639	342,733,145
Other Income	53,842,987	5,295,098	-	6,827,885	1,184,434	727,400,706	49,378,919	-	31,755,823	1,487,704	294,174,364	1,171,347,919
Other Income2	779,332,441	- 7,827,640	-	100,696	-	7,915,142	1,612,323	-	13,260,876	1,598,818,980	6,570,378	2,399,783,196
Other Income3	-	29,296	-	-	-	231,823,502	18,153,499	-	13,318,378	10,826,255	-	274,150,930
Other Income4	-	31,538	-	-	-	-	-	-	32,566,012	-	-	32,597,550
Other Income5	-	-	-	-	-	-	-	-	622,818,563	-	-	622,818,563
Administrative Expenses	432,539,212	56,858,251	8,347,921	-	250,135,588	226,665,573	235,353,007	- 732,432,534	178,659,578	125,461,219	684,820,385	1,466,408,199
Other Expenses1	-	2,139,568	7,358,243	-	57,197,827	2,424,997,396	69,473,211	-	6,000,205	15,006,451	35,454,370	2,617,627,271
Other Expenses2	-	-	-	-	-	-	- 109,789	-	924,854,916	-	3,652,668	928,397,796
Other Expenses3	-	-	-	-	-	-	-	-	61,304,237	-	35,282	61,339,519
Other Expenses4	-	-	-	-	-	-	-	-	2,918,564	-	-	2,918,564
Earnings Before Interest and Taxation	485,799,464	52,649,262	- 441,641	819,931,231	17,298,461,539	879,905,132	234,786,917	9,159,328,528	652,070,760	253,150,111	753,051,797	30,588,693,099
Interest	268,500,921	-	-	-	-	-	1,184,523	11,090,080	5,643,113	7,410,452	3,111,815	296,940,904
Interest expense	-	1,007,774	-	9,527,409	-	25,445	235,099	- 1,209,165,971	54,880	-	20,399,084	- 1,177,916,279
Earnings Before Tax	754,300,385	51,641,488	- 441,641	810,403,822	17,298,461,539	879,879,687	235,736,340	10,379,584,579	657,658,993	260,560,563	735,764,528	32,063,550,282
Taxation	186,463,055	-	-	29,991,205	-	32,184,830	1,160,838	- 13,133,578	3,551,200	128,671,561	2,037,893	370,927,004
Earnings After Tax	567,837,330	51,641,488	- 441,641	780,412,617	17,298,461,539	847,694,857	234,575,502	10,392,718,156	654,107,793	131,889,002	733,726,635	31,692,623,278
Total Comprehensive Profit/(Loss) for the Period	567,837,330	51,641,488	- 441,641	780,412,617	17,298,461,539	847,694,857	234,575,502	10,392,718,156	666,483,763	131,889,002	733,726,635	31,704,999,248
Total Comprehensive Profit/(Loss)	567,837,330	51,641,488	- 441,641	780,412,617	17,298,461,539	847,694,857	234,575,502	10,392,718,156	666,483,763	131,889,002	733,726,635	31,704,999,248

Annexure 2: Statement of Financial Position for Life Assurers

	Nyaradzo Life Assurance	Nhaka Life Assurance	Evolution Insurance	Doves Life Assurance	Old Mutual Life Assurance	Zimnat Life Assurance	CBZ Life	First Mutual Life Assurance	Fidelity Life Assurance	ZB Life Assurance	Econet Life Assurance	TOTALS
Non-Current Assets												
Intangible Assets	-	-	-	-	-	15,739,221	-	-	18,403,534	3,319,568	-	37,462,323
Property and Equipment	6,891,700,215	3,310,010	9,160,658	483,904,737	111,352,281	23,624,809	103,617,596	-	1,362,193	85,282,214	98,538,591	7,811,853,306
Investment Property	190,589,606	36,550,000	125,104,055	884,931,000	3,607,234,978	2,793,250,200	343,011,924	47,050,330	1,649,522,951	453,311,500	237,978,540	10,368,535,084
Investments: Quoted equities	616,666,503	-	1,389,642	121,358,233	34,861,730,128	2,107,046,726	360,168,147	3,859,632,885	599,286,807	388,101,582	1,130,988,504	44,046,369,156
Unquoted equities	410,335,966	30,202,158	204,897,915	-	1,407,305,047	636,323,696	62,706,446	405,830,385	2,464,881,081	761,385,892	79,397,757	6,463,266,343
Bonds	-	-	-	-	185,067,411	27,072,398	-	24,604,610	53,763,359	34,789,527	25,001,397	350,298,702
Deferred acquisition costs	-	-	-	-	-	-	16,183,375	-	-	-	-	16,183,375
Other Non-Current Assets1	-	109,062,468	-	-	-	17,719,378	-	11,549,033,344	-	4,040,675,339	994,898	15,717,485,427
Other Non-Current Assets2	-	284,442	-	-	-	2,204,843	-	-	-	8,406,672	257,300	11,153,257
Other Non-Current Assets3	-	235,072	-	-	-	1,721,324	-	-	-	-	-	1,956,396
Total Non-Current Assets	8,109,292,290	179,644,150	340,552,270	1,490,193,970	40,172,689,845	5,624,702,594	885,687,490	15,886,151,553	4,787,219,925	5,775,272,295	1,573,156,989	84,824,563,371
Current Assets												
Premium Receivable	-	25,199	-	-	2,835,855	17,911,771	35,643,864	73,697,298	3,824,382	-	6,049,643	139,988,012
Money market investments	81,542,929	-	-	-	263,712,524	51,774,622	31,596,983	31,456,812	-	66,944,099	118,638,072	645,666,041
Short term Investments	-	-	5,000	588,427	-	229,929,728	-	-	-	-	-	230,523,155
Other receivables	653,169,757	2,184,930	-	2,822,250	-	303,662,211	23,813,728	15,988,729	190,350,411	25,057,637	5,195,327	1,222,244,981
Cash and Bank Balances	177,947,902	10,394,423	559,363	157,897,151	280,949,695	186,183,365	70,062,390	125,600,481	64,293,617	6,127,254	62,989,524	1,143,005,164
Other Current Assets1	262,061,599	9,577,790	2,003,537	239,694,948	353,382,380	41,613,758	-	1,366,473	1,756,590	-	19,188,182	930,645,257
Other Current Assets2	639,978,299	3,482,310	-	#######	-	-	-	40,247,931	-	-	24,225,218	25,086,585,858
Other Current Assets3	-	176,074	-	-	-	-	-	-	-	-	-	176,074
Total Current Assets	1,814,700,486	25,840,726	2,567,900	644,789,297	900,880,454	831,075,456	161,116,965	288,357,724	260,225,000	98,128,990	236,285,966	5,263,968,964
Total Assets	9,923,992,775	205,484,876	343,120,170	2,134,983,267	41,073,570,299	6,455,778,050	1,046,804,454	16,174,509,277	5,047,444,925	5,873,401,285	1,809,442,955	90,088,532,335
Liabilities												
Long (Non-Current) Liabilities												
Long Term Loans	-	-	-	28,313,630	-	813,360	-	-	-	-	-	29,126,990
Deferred Taxation	335,426,935	-	68,740	6,748,106	442,550,749	33,820,806	-	118,047,026	-	238,529,448	-	1,175,191,810
Future Policyholder Funds	4,099,024,366	-	254,420	306,596,268	-	-	-	-	-	-	-	4,405,875,054
Short (Current) Liabilibities												-
Outstanding Claims	-	761,863	43,680	-	90,410,924	44,103,921	10,966,982	-	-	14,812,568	6,630,041	167,729,980
Claims Incurred but not Reported	-	1,060,480	2,085,432	-	346,696,233	-	16,234,218	-	-	-	122,956,223	489,032,586
Paid up policies	212,895,556	-	-	-	-	-	-	-	-	-	-	212,895,556
Investment contract liabilities	-	68,903,736	102,211	-	5,010,830,740	-	58,862,633	1,665,724,606	622,866,913	-	1,569,543	7,428,860,382
Insurance contract liabilities	-	-	62,250	-	3,398,043,485	158,399,455	-	10,040,476,865	3,317,390,392	-	10,469,411	16,924,841,858
Life Fund	-	127,727	-	-	-	4,469,346,474	158,754,011	110,975,752	-	3,973,040,955	-	8,712,244,920
Unearned Premium Reserve	-	265,658	712,023	-	63,206,077	29,493,253	3,610,816	-	-	-	67,783,397	165,071,224
Amounts Due To Reinsurers	-	476,168	-	-	-	-	115,210	-	-	937,672	6,692,547	8,221,597
Other Short Term Liabilities												
Other Liabilities1	1,888,798,743	7,462,560	4,275,537	9,452,229	543,198,108	21,601,631	-	18,133,167	-	172,954,800	49,617,106	2,715,493,879
Other Liabilities2	-	15,528,789	907,338	7,216,571	33,672,748	344,644,448	215,084,523	34,459,070	12,438,969	19,685,614	141,495,130	825,133,199
Other Liabilities3	-	-	-	-	29,499,310	1,625,851	-	27,764,938	334,424,175	-	12,169,541	405,483,815
Other Liabilities4	-	-	-	-	5,327,707	-	-	7,929,702	1,385,986	-	10,050,671	24,694,065
Other Liabilities5	-	-	-	-	41,031,620	-	-	98,255,671	-	-	-	139,287,290
Other Liabilities6	-	-	-	-	323,276,791	-	-	1,675,490	-	-	1,915,694	326,867,975
Total Liabilities	6,536,145,600	94,586,981	8,511,631	358,326,804	10,327,744,492	5,103,849,199	463,628,395	12,123,442,286	4,288,506,435	4,419,961,057	436,374,637	44,161,077,516
SHARE CAPITAL AND RESERVES												
Share Capital	400,000	20,200	38	1,000,000	131,844	200,000	200	7,308	1,092,059	231,908	100	3,083,656
Share Premium	-	34,804,380	2,435,318	-	29,990,000	450,000	1,388,012	116,379,892	671,409	4,431,623	568,525,077,100	568,715,627,734
Investment Reserve	-	-	-	-	-	-	-	2,014,048	-	9,217,529	-	11,231,577
Revaluation Reserve	4,192,334,377	-	309,201,626	3,701,303	-	15,186	98,905,300	-	298,304,300	122,756,109	116,917,380	5,142,135,581
Non Distributable Reserve	175,935,419	-	-	-	33,764,276	2,463,511	-	-	-	-	-	212,163,206
Retained Earnings - Prior years	1,548,659,949	24,431,827	23,413,198	991,542,543	7,586,993,761	501,105,298	238,767,020	-	356,957,243	1,184,914,058	516,738,953	12,973,523,851
Retained Earnings - Current year	567,837,330	51,641,488	441,641	780,412,617	23,094,945,926	847,694,857	234,575,502	3,932,665,743	-	131,889,002	733,726,635	30,375,830,740
Other1	-	-	-	-	-	-	2,550,000	-	10,037	-	-	2,560,037
Other2	-	-	-	-	-	-	6,990,223	-	101,923,517	-	-	108,913,740
SHAREHOLDERS EQUITY	3,387,847,176	110,897,895	334,608,539	1,776,656,463	30,745,825,807	1,351,928,852	583,176,059	4,051,066,991	758,938,490	1,453,440,228	1,373,068,319	45,927,454,819
TOTAL EQUITY & LIABILITIES	9,923,992,776	205,484,876	343,120,170	2,134,983,267	41,073,570,299	6,455,778,050	1,046,804,454	16,174,509,277	5,047,444,925	5,873,401,285	1,809,442,955	90,088,532,335

Annexure 3: Statement of Comprehensive Income for Life Reassurers

	First_Mutual_Reinsurance	FBC_Reinsurance	Baobab_Reinsuranc	ZEP_RE-Insurance	Totals
Gross Premium Written	37,634,250	113,609,079	375,205,489	62,702,620	589,151,438
Outward Reassurance Premium	11,747,883	45,719,918	59,962,326	-	117,430,128
Net Premium Written	25,886,367	67,889,161	315,243,163	62,702,620	471,721,311
Unearned Premiums	-	-	-	7,479,292	7,479,292
Net Earned Premium	25,886,367	67,889,161	315,243,163	55,223,329	464,242,019
Claims Paid	10,068,334	35,866,204	142,152,283	46,403,175	234,489,997
Claims Outstanding	-	-	-	- 263	- 263
Claims Incurred But Not Reported	-	-	-	13,996,787	13,996,787
Change in provision for insurance	66,864	-	57,609,000	-	57,675,864
Net Claims	10,135,198	35,866,204	199,761,283	60,399,700	306,162,385
Management Expenses	2,620,939	-	46,560,663	1,983,490	51,165,092
Net Fees and Commission Paid	3,460,182	10,076,316	66,796,464	11,276,946	91,609,908
Underwriting Profit/(Loss)	9,670,048	21,946,640	2,124,752	- 18,436,807	15,304,633
Fair value adjustments (positive)	106,444,655	58,822,545	-	-	165,267,200
Dividend income	1,175,161	-	-	-	1,175,161
Other Income	490,095	-	2,412,632	-	2,902,727
Other Income2	-	-	313,984,185	-	313,984,185
Other Income3	-	-	471,701,081	-	471,701,081
Administrative Expenses	-	2,089,544	-	-	2,089,544
Earnings Before Interest and Taxation	117,779,959	78,679,641	790,222,651	- 18,436,807	968,245,444
Interest	-	594,346	-	2,138,120	2,732,466
Earnings Before Tax	117,779,959	79,273,987	790,222,651	- 16,298,687	970,977,910
Taxation	-	20,413,052	13,688	-	20,426,739
Earnings After Tax	117,779,959	58,860,936	790,208,963	- 16,298,687	950,551,171
Total Comprehensive Profit/(Loss) for the Pe	117,779,959	58,860,936	790,208,963	- 16,298,687	950,551,171
Total Comprehensive Profit/(Loss)	117,779,959	58,860,936	790,208,963	- 16,298,687	950,551,171

Annexure 4: Statement of Financial Position for Life Reassurers

Item	First Mutual Reinsurance	FBC Reinsurance	Baobab Reinsurance	ZEP RE Insurance	Totals
Non-Current Assets					
Property and Equipment	2,000	45,001,863	2,268	-	45,006,131
Investment Property	-	-	462,719,148	-	462,719,148
Investments: Quoted equities	1,608,673	322,290,539	-	-	323,899,212
Bonds	3,062	-	-	36,286,430	36,289,492
Deferred tax asset	-	-	4,682	-	4,682
Deferred acquisition costs	-	70,859,676	-	4,250,736	75,110,412
Other Non-Current Assets1	-	-	12,998,000	-	12,998,000
Other Non-Current Assets2	-	878,784,704	-	-	878,784,704
Other Non-Current Assets3	-	82,926,829	-	-	82,926,829
Total Non-Current Assets	161,373,477	1,565,970,535	475,724,098	40,537,166	2,243,605,276
Current Assets					
Premium Receivable	3,084,091	-	-	-	3,084,091
Money market investments	455,000	5,952,933	-	-	6,407,933
Short term Investments	-	222,779,080	358,197,976	-	580,977,056
Other receivables	13,145,633	-	-	116,618,417	129,764,050
Cash and Bank Balances	150,136,500	296,575,626	11,675,198	-	458,387,324
Other Current Assets1	-	-	161,310,838	-	161,310,838
Other Current Assets2	-	253,104,704	-	-	253,104,704
Total Current Assets	**18,186,089**	**778,412,343**	**531,184,012**	**116,618,417**	**1,444,400,862**
Total Assets	**179,559,566**	**2,344,382,878**	**1,006,908,110**	**157,155,583**	**3,688,006,137**
Liabilities					
Deferred Taxation	-	78,407,600	-	-	78,407,600
Outstanding Claims	575,560	-	-	428,703	1,004,264
Claims Incurred but not Reported	744,055	-	-	23,692,016	24,436,071
Insurance contract liabilities	401,182	-	6,771,747	-	7,172,929
Retrocession Arrangements	-	-	13,756,156	-	13,756,156
Life Fund	-	-	93,553,000	-	93,553,000
Unearned Premium Reserve	-	304,216,485	-	16,960,453	321,176,938
Amounts Due To Reinsurers	8,179,148	-	-	-	8,179,148
Other Liabilities1	1,118,255	464,618,773	2,601,091	-	468,338,119
Other Liabilities2	163,983	20,413,052	2,088,302	-	22,665,337
Other Liabilities3	-	216,981,830	-	-	216,981,830
Other Liabilities6	-	353,222,638	-	-	353,222,638
Total Liabilities	**11,182,184**	**1,281,045,178**	**118,770,296**	**41,081,172**	**1,452,078,830**
SHARE CAPITAL AND RESERVES					
Share Capital	700	900,000	487,727	-	1,388,427
Share Premium	2,287,595	42,703,332	6,281,124	-	51,272,051
Revaluation Reserve	-	39,881,814	-	2,964,664	42,846,478
Non Distributable Reserve	-	37,351	-	-	37,351
Retained Earnings - Prior years	48,309,127	5,200,786	91,160,000	102,740,387	247,410,300
Retained Earnings - Current year	117,779,960	53,660,149	790,208,963	16,298,687	977,947,760
Other1	-	920,954,268	-	-	920,954,268
SHAREHOLDERS EQUITY	**168,377,382**	**1,063,337,700**	**888,137,814**	**116,074,411**	**2,235,927,307**
TOTAL EQUITY & LIABILITIES	**179,559,566**	**2,344,382,878**	**1,006,908,110**	**157,155,583**	**3,688,006,137**